WARRANTY ATLAS · Washington (WA)

Law last amended: 2014 (eff. 2014-06-12) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-22

Cites: Rev. Code Wash. § 46.96.105; RCW 46.96.260 (civil actions); RCW 46.70.101(2)(j) (manufacturer license sanctions)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Statute silent on time / not established	§ 46.96.105(1)(b)
Mfr-backed service contract	**Not addressed**	-	§ 46.96.105(1)
CPO warranty	**Not addressed**	-	§ 46.96.196(3) (secondary-products rule only)
Independent service contract	**Not addressed**	-	§ 46.96.105(1)

Hourly rate: Labor and diagnostic work, plus manufacturer-required documentation work, are paid at 'the rates charged by the dealer to its retail customers for such work'. The manufacturer may refuse an increase only by showing the rate 'unreasonably exceed[s] those of all other' same-line or competing-line dealers in the relevant market area. One increase per calendar year. The 100-RO/90-day method in (1)(a) covers parts markup only.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Written notice setting forth the reasons the claim was not approved.	§ 46.96.105(2); decision/deemed approval (3)
Payment	30 days after submission. Dealer filing deadline: Within 90 days of the date the work was performed.	
Chargebacks	9 months; fraud: Fraudulent claims: any period in which a fraud action may be commence…. Chargeback only for unsubstantiated, incorrect, or false claims; no cost recovery by reduction, surcharge or other imposition ((4)).	§ 46.96.105(2)
Rate resubmission	One increase per calendar year (labor/diagnostic rate and parts markup each). Sample: No statutory labor-rate sample. Excluded: Discounted / promotional, Insurance-paid, Routine maintenance, Tires, Prep / reconditioning, Other (see text).	§ 46.96.105(1)(c); exclusions (1)(a)(i)-(vii); labor (1)(b)
Mfr response	Silent; no response = approved: no rule in statute. Challenge: Manufacturer must demonstrate the rates 'unreasonably exceed those of all other' franchised dealers in the same relevant market area offering the same or a competitive line. Forum: Department of Licensing adjudicative proceeding (ch. 34.05 RCW; $500….	§ 46.96.105(1)(b)
Penalties	Dealer (or dealer association) may petition DOL for an adjudicative proceeding or sue for actual damages, declaratory relief, injunction, costs and reasonable attorneys' fees if prevailing; court may treble damages for willful violations. Director may deny, suspend or revoke a manufacturer's license and/or assess civil penalties up to…	RCW 46.96.260; RCW 46.70.101(2)(j)
Audit procedures	Audit climate score 14/100 (Low restrictiveness; chargeback limits 14/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 46.96.105(2); decision/deemed approval (3)): "All claims for warranty work for parts and labor made by dealers under this section must be submitted to the manufacturer within ninety days of the date the work was performed."*
Chargebacks *(§ 46.96.105(2)): "The manufacturer has the right to audit claims for warranty work and to charge the dealer for any unsubstantiated, incorrect, or false claims for a period of nine months following payment."*
Rate *(§ 46.96.105(1)(c); exclusions (1)(a)(i)-(vii); labor (1)(b)): "A dealer may not be granted an increase in the average percentage markup or labor and diagnostic work rate more than once in one calendar year."*
Factory time *(§ 46.96.105(1)(b)): "A manufacturer shall compensate a dealer for labor and diagnostic work at the rates charged by the dealer to its retail customers for such work"*

Notes

Only state in this group with a statutory dealer filing deadline (90 days). Schedule of compensation may not fall below an existing dealer's schedule as of June 10, 2010. 2014 c 214 (latest amendment) applies to franchises amended, renewed or entered after June 12, 2014 (2014 c 214 s 9). No time-allowance standard. Recall pay (RCW 46.96.095) uses § 105 rates. Where the warranty agreement requires prior approval, the manufacturer must give it within a reasonable time and no later than 10 days, except in life, health or safety emergencies (WAC 308-66-150(2)).

Source: official · https://app.leg.wa.gov/RCW/default.aspx?cite=46.96.105 · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.